

CONTRACT TYPE: SaaS Subscription Agreement

RISK PROFILE: VENDOR-FRIENDLY (risky for client)

SOFTWARE AS A SERVICE SUBSCRIPTION AGREEMENT

Effective Date: [____], 2024

This Software as a Service Subscription Agreement (hereinafter "Agreement") is entered into as of the Effective Date set forth above by and between **ACME Corporation**, a corporation duly organized and existing under the laws of the State of Delaware, with its principal place of business at 100 Technology Drive, San Francisco, California 94105 (hereinafter "Provider"), and **ClientCo Ltd.**, a company duly organized and existing under the laws of England and Wales, with its registered office at 25 Business Park, London, EC2A 1AA, United Kingdom (hereinafter "Client").

WHEREAS, Provider is in the business of developing, maintaining, and licensing access to software applications delivered via the internet on a software-as-a-service basis; WHEREAS, Client desires to subscribe to Provider's software services as described herein; NOW, THEREFORE, in consideration of the mutual covenants contained herein and for other good and valuable consideration, the parties agree as follows:

1. DEFINITIONS

- 1.1 **"Authorized Users"** means Client's employees, contractors, and agents authorized by Client to access and use the Services under the rights granted pursuant to this Agreement.
- 1.2 **"Client Data"** means all data, information, and content submitted, uploaded, or otherwise made available by Client or its Authorized Users in connection with the Services.
- 1.3 **"Documentation"** means Provider's user manuals, technical specifications, and other written materials relating to the Services, as updated from time to time at Provider's sole discretion.
- 1.4 **"Services"** means the cloud-based software applications and associated services made available by Provider via the internet and as described in the applicable Order Form.
- 1.5 **"Order Form"** means any order document referencing this Agreement that sets forth the specific Services, subscription fees, and other commercial terms.
- 1.6 **"Subscription Term"** means the period during which Client has agreed to subscribe to the Services, as specified in the applicable Order Form.
- 1.7 **"Usage Data"** means any data, metadata, analytics, logs, and telemetry generated by or derived from Client's or Authorized Users' access to and use of the Services, including without limitation feature usage patterns, performance data, and interaction data.

2. GRANT OF LICENSE AND ACCESS

2.1 **License Grant.** Subject to Client's compliance with the terms and conditions of this Agreement and timely payment of all applicable fees, Provider hereby grants to Client a limited, non-exclusive, non-transferable, non-sublicensable, revocable right during the Subscription Term to access and use the Services solely for Client's

internal business purposes, and to permit Authorized Users to access and use the Services in accordance with this Agreement.

2.2 Restrictions. Client shall not, and shall ensure that its Authorized Users do not: (a) copy, modify, adapt, or create derivative works of the Services or Documentation; (b) reverse engineer, decompile, or disassemble the Services; (c) sublicense, sell, resell, transfer, or assign the Services to any third party; (d) use the Services to build a competitive product or service; (e) use the Services in violation of any applicable law or regulation; or (f) remove or obscure any proprietary notices.

2.3 Authorized Users; Sole Responsibility. Client is solely responsible for all acts and omissions of its Authorized Users. Any breach of this Agreement by an Authorized User shall be deemed a breach by Client. Client shall promptly notify Provider of any unauthorized use of the Services.

3. PAYMENT TERMS

3.1 Fees. Client shall pay to Provider the subscription fees set forth in the applicable Order Form ("Fees"). All Fees are quoted and payable in United States Dollars unless otherwise specified. All Fees are non-refundable under any circumstances, including upon early termination of this Agreement.

3.2 Invoicing and Payment. Provider shall issue invoices to Client in accordance with the billing schedule set forth in the applicable Order Form. Client shall pay each invoice in full within sixty (60) days of the invoice date ("**Net 60**"). Payment shall be made by wire transfer, ACH, or such other method as Provider may designate from time to time.

3.3 Late Payments. If Client fails to pay any amount by the due date, Provider may, at its sole discretion: (a) charge interest on the overdue amount at the rate of three percent (3%) per month, compounding monthly, from the date such payment was due until the date of actual payment; (b) suspend Client's access to the Services upon five (5) days' notice without further obligation to Client; and/or (c) terminate this Agreement pursuant to Section 11.3. Client shall reimburse Provider for all costs of collection, including reasonable attorneys' fees.

3.4 Taxes. All Fees are exclusive of any applicable taxes, levies, duties, or similar governmental charges. Client is responsible for paying all such taxes. In the event Provider is required to collect or remit any tax on Client's behalf, Client shall promptly reimburse Provider therefor.

3.5 No Set-Off. Client shall not be entitled to withhold, set off, or deduct any amounts from Fees due under this Agreement, whether on account of any disputed amounts, counterclaims, or otherwise.

4. AUTO-RENEWAL

4.1 Automatic Renewal. Unless Client provides written notice of non-renewal to Provider no later than ninety (90) days prior to the expiration of the then-current Subscription Term, this Agreement shall automatically renew for successive periods equal to the initial Subscription Term or one (1) year, whichever is longer (each, a "Renewal Term"), at Provider's then-current list prices, which may be increased by Provider at its sole discretion.

4.2 Fee Adjustments upon Renewal. Provider may adjust the Fees applicable to any Renewal Term at any time prior to the commencement of such Renewal Term by providing written notice to Client. Any increase in Fees shall take effect upon the commencement of the applicable Renewal Term without further action required. Failure to cancel within the 90-day window set forth in Section 4.1 shall constitute Client's irrevocable acceptance of any such Fee adjustment.

4.3 Binding Effect. Client acknowledges and agrees that it is solely responsible for tracking the cancellation deadline and that no reminders or notices of the approaching cancellation deadline will be provided by Provider.

5. DATA OWNERSHIP AND PRIVACY

5.1 Vendor Data Ownership. Notwithstanding anything to the contrary in this Agreement, as between the parties, Provider shall own and retain all right, title, and interest in and to: (a) all Usage Data; (b) all aggregated, anonymized, or de-identified data derived from Client Data or Usage Data; (c) all insights, analytics, benchmarks, models, and reports generated from or derived from Client Data or Usage Data; and (d) any improvements to Provider's products or services derived from Client Data or Usage Data (collectively, "Provider-Owned Data"). Client hereby irrevocably assigns to Provider all right, title, and interest in and to Provider-Owned Data.

5.2 Client Data License. Client hereby grants to Provider a worldwide, perpetual, irrevocable, royalty-free, fully sublicensable license to use, reproduce, modify, adapt, translate, distribute, publicly perform, publicly display, and create derivative works from Client Data for any purpose, including without limitation to: (a) provide, maintain, and improve the Services; (b) develop new products and services; (c) conduct research and analysis; (d) train machine learning models; and (e) create and commercialize anonymized or aggregated data products.

5.3 No Data Return Obligation. Provider shall have no obligation to return Client Data upon expiration or termination of this Agreement. Client is solely responsible for exporting its data prior to termination. Provider may delete all Client Data thirty (30) days following termination without further notice to Client.

5.4 Data Processing. To the extent the Services involve the processing of personal data, Client shall be solely responsible for obtaining all necessary consents and authorizations from data subjects and shall indemnify Provider against any claims arising from Client's failure to do so.

6. INTELLECTUAL PROPERTY

6.1 Provider IP. Provider owns and retains all right, title, and interest in and to the Services, Documentation, Provider's Confidential Information, Provider-Owned Data, and all underlying technology, software, algorithms, methodologies, know-how, and intellectual property rights therein (collectively, "Provider IP"). No rights in Provider IP are granted to Client except as expressly set forth herein.

6.2 Feedback. If Client provides any suggestions, feedback, or recommendations ("Feedback"), Client hereby irrevocably assigns to Provider all right, title, and interest in and to such Feedback. Provider may use, commercialize, and incorporate Feedback without restriction or obligation to Client.

6.3 Reservation of Rights. Provider expressly reserves all rights not expressly granted under this Agreement. Client shall not challenge Provider's ownership of, or the validity or enforceability of, any Provider IP.

7. CONFIDENTIALITY

7.1 Confidential Information. Each party may disclose information that is marked confidential or that a reasonable person would understand to be confidential ("Confidential Information").

7.2 Obligations. The Receiving Party shall hold all Confidential Information in strict confidence and not disclose it to third parties without the Disclosing Party's prior written consent. Provider's Confidential Information includes, without limitation, Provider IP, pricing, and the terms of this Agreement. Client shall not disclose the terms of this Agreement to any third party.

7.3 Exclusions; Compelled Disclosure. Obligations of confidentiality do not apply to information: (a) in the public domain; (b) previously known to the Receiving Party; (c) independently developed; or (d) required by law to be disclosed, provided the Receiving Party provides prompt notice and cooperates in seeking a protective order.

8. WARRANTIES AND DISCLAIMERS

8.1 Disclaimer. THE SERVICES ARE PROVIDED STRICTLY "AS IS" AND "AS AVAILABLE" WITHOUT ANY WARRANTY OF ANY KIND, EXPRESS OR IMPLIED. PROVIDER EXPRESSLY DISCLAIMS ALL WARRANTIES, INCLUDING WITHOUT LIMITATION ANY IMPLIED WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, TITLE, AND NON-INFRINGEMENT. PROVIDER MAKES NO REPRESENTATION OR

WARRANTY THAT THE SERVICES WILL MEET CLIENT'S REQUIREMENTS, BE UNINTERRUPTED, TIMELY, SECURE, OR ERROR-FREE, OR THAT ANY ERRORS WILL BE CORRECTED.

8.2 Client Assumption of Risk. Client assumes all risks associated with its use of the Services, including without limitation all risks associated with data loss, data corruption, unauthorized access, and the accuracy or completeness of outputs generated by the Services.

9. INDEMNIFICATION

9.1 Indemnification by Client. Client shall indemnify, defend, and hold harmless Provider and its officers, directors, employees, agents, successors, and assigns from and against any and all claims, losses, liabilities, damages, costs, and expenses (including reasonable attorneys' fees) arising out of or relating to: (a) Client's use of the Services; (b) Client Data, including any claim that Client Data infringes a third party's rights or violates applicable law; (c) Client's breach of this Agreement; or (d) Client's violation of any applicable law or regulation.

9.2 Indemnification by Provider. Provider shall indemnify Client solely against direct damages arising from Provider's willful misconduct or gross negligence, subject in all cases to the limitations set forth in Section 10.

10. LIMITATION OF LIABILITY

10.1 Exclusion of All Consequential Damages. TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, IN NO EVENT SHALL PROVIDER BE LIABLE FOR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL, EXEMPLARY, PUNITIVE, OR OTHER SIMILAR DAMAGES OF ANY KIND, INCLUDING WITHOUT LIMITATION LOSS OF PROFITS, REVENUE, BUSINESS, GOODWILL, DATA, USE, OR OPPORTUNITY, HOWEVER CAUSED AND REGARDLESS OF THE THEORY OF LIABILITY, EVEN IF PROVIDER HAS BEEN ADVISED OF THE POSSIBILITY OF SUCH DAMAGES.

10.2 Aggregate Liability Cap. TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, PROVIDER'S TOTAL AGGREGATE LIABILITY TO CLIENT ARISING OUT OF OR RELATING TO THIS AGREEMENT, WHETHER IN CONTRACT, TORT, STRICT LIABILITY, OR OTHERWISE, SHALL NOT EXCEED FIVE HUNDRED UNITED STATES DOLLARS (USD \$500.00), REGARDLESS OF THE NATURE OR NUMBER OF CLAIMS AND REGARDLESS OF THE AMOUNT OF FEES PAID BY CLIENT.

10.3 Essential Basis. CLIENT ACKNOWLEDGES AND AGREES THAT THE LIABILITY LIMITATIONS IN THIS SECTION 10 ARE AN ESSENTIAL ELEMENT OF THE BASIS OF THE BARGAIN BETWEEN THE PARTIES, AND THAT PROVIDER WOULD NOT HAVE ENTERED INTO THIS AGREEMENT WITHOUT SUCH LIMITATIONS.

10.4 Exceptions. The exclusions in Sections 10.1 and 10.2 shall not apply to Client's indemnification obligations under Section 9.1 or Client's payment obligations.

11. TERM AND TERMINATION

11.1 Term. This Agreement shall commence on the Effective Date and continue for the initial Subscription Term specified in the applicable Order Form, unless earlier terminated pursuant to this Section 11.

11.2 Termination by Provider for Convenience. Provider may terminate this Agreement at any time upon seven (7) days' prior written notice to Client. In the event of termination by Provider for convenience, Provider shall provide Client with a pro-rata refund of prepaid but unused Fees.

11.3 Termination by Provider for Cause. Provider may terminate this Agreement immediately upon written notice, without any cure period, if: (a) Client fails to pay any amount when due; (b) Client breaches any provision of this Agreement; (c) Client becomes insolvent or subject to bankruptcy proceedings; or (d) Provider determines, in its sole discretion, that continued provision of the Services poses a legal, regulatory, or reputational risk to Provider.

11.4 Termination by Client. Client may terminate this Agreement only upon sixty (60) days' prior written notice, and solely at the expiration of a Subscription Term. Early termination by Client shall not relieve Client of its obligation to pay all Fees remaining for the then-current Subscription Term.

11.5 Effect of Termination. Upon termination: (a) all licenses granted to Client shall immediately terminate; (b) Client shall cease all use of the Services; (c) all outstanding Fees shall become immediately due and payable; and (d) Provider may delete all Client Data pursuant to Section 5.3.

12. GENERAL PROVISIONS

12.1 Governing Law; Jurisdiction. This Agreement shall be governed by and construed in accordance with the laws of the State of Delaware. Any dispute shall be subject to the exclusive jurisdiction of the state and federal courts located in Wilmington, Delaware, and Client irrevocably submits to such jurisdiction.

12.2 Modification of Terms. Provider reserves the right to modify this Agreement at any time by providing written notice to Client. Continued use of the Services following such notice shall constitute Client's acceptance of the modified terms.

12.3 Entire Agreement; Amendments. This Agreement, together with all Order Forms, constitutes the entire agreement between the parties. Amendments may be made by Provider as provided in Section 12.2.

12.4 Assignment. Provider may assign this Agreement or any of its rights or obligations without Client's consent. Client may not assign this Agreement without Provider's prior written consent.

12.5 Waiver; Severability. No waiver of any provision shall be effective unless in writing. If any provision is held unenforceable, it shall be modified to the minimum extent necessary; all other provisions remain in force.

12.6 No Class Actions. All claims must be brought in the parties' individual capacity and not as a plaintiff or class member in any purported class or representative proceeding. Client waives its right to participate in any class action lawsuit against Provider.

IN WITNESS WHEREOF, the parties hereto have executed this Agreement as of the date first written above.

ACME Corporation

By: _____

Name: _____

Title: _____

Date: _____

ClientCo Ltd.

By: _____

Name: _____

Title: _____

Date: _____

---CONTRACT_END---
